USDA Foreign Agricultural Service

GAIN Report

Global Agricultural Information Network



Required Report - public distribution

**Date:** 3/1/2018
**GAIN Report Number:** TR8006

# Turkey

# Oilseeds and Products Annual

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**Report Highlights:**

Turkey's MY 2018/19 oilseeds production is expected to rise four percent to 3.06 MMT. Good returns on cotton and sunflowerseed production are affecting farmers' planting decisions. Despite the efforts of the government to increase oilseeds production, Turkey continues to be import-dependent due to a net deficit of oilseeds and protein for animal feed. Accordingly, in MY 2016/17 Turkey imported 591,000 MT of sunflowerseed, 958,000 MT of sunflowerseed meal and 793,000 MT of sunflowerseed oil to meet domestic and export demands. Turkey also continues to import large quantities of soybeans and soybean meal, with combined imports reaching a record of 3.05 MMT in MY2016/17. Total imports of soybeans and soybean meal are expected continue to increase in MY 2017/18, reaching 3.2 MMT.

## Turkey Oilseeds and Products Annual Report 2018

**Executive Summary:**

Turkey's total production of oilseeds covered in this report (soybean, sunflower and cottonseed) is projected to increase in MY 2018/19 about four percent to about 3.06 MMT. While cottonseed production is expected to go up about eight percent, and sunflowerseed up two percent, soybean production is expected to remain the same as last year.

The good returns for farmers on cotton and sunflowerseed during MY 2017/18, coupled with less than desired returns on corn, will support an increase in planting of both crops in MY 2018/19. Precipitation during winter months will provide adequate soil moisture for the coming sunflowerseed crop, particularly in the Thrace region, where about fifty percent of the local sunflowerseed crop is grown. Domestic soybean production remains only a fraction of domestic consumption. While domestic soybean production is expected to be about the same as last year at 85,000 MT, total domestic consumption of soybean and soybean meal is estimated to reach 3.05 MMT in MY 2018/19.

Over the years, the Turkish government's production premiums for oilseeds and support of quasi-governmental producers' coops to persuade farmers to plant more oilseeds has had limited success. The Turkish government also provides fuel and fertilizer support. Accordingly, the GOT increased the production bonus for all oilseed crops in 2016/17. These premiums are administered as a certain amount of Turkish Lira per ton. In the MY 2017/18 crop year, seed cotton was the only oilseed crop that received a minor increase and provided some incentive for cotton planting. In MY 2018/19, however, no crop will receive any additional increases in production support (though the premiums from last year remain the same), but fuel support was increased about ten percent. Farmers are not satisfied with the recent adjustments and are asking the Turkish government to review and adjust the production premium amounts for next summer's crops. They specifically cite the recent annual inflation rate, which runs about eleven percent.

MY 2017/18 was an on year for olive oil production. Production was 280,000 MT, which is up about 100,000 MT compared to the last crop year. Suitable weather conditions during the season helped production to increase about sixty percent, much higher than expected. Production for MY2018/19, an off year, is estimated slightly lower, at about 250,000 MT.

In the medium and long term, rising household incomes will increase the demand for livestock, poultry and aquaculture products, ensuring continued demand for protein meals for feed. Simultaneously, consumers will demand higher-quality vegetable oils. The GOT continues to support oilseed production and also has ambitious irrigation projects throughout Turkey that will help them meet a larger portion of the demand for some of the oilseeds, such as sunflowerseed and cottonseed. But demand for imported soybeans and meal is unlikely to be met by local production. Therefore Turkey's demand for imported oilseeds, meal, and oils will remain for years to come.

**Production Executive Summary**

MY 2017/18 total sunflowerseed planting area and production were 700,000 hectares and 1.55 MMT respectively. Oilseed sunflowerseed area and production hit a record of 650,000 hectares and 1.45 MMT. While country-wide planting increased about eight percent, production increased about twenty percent as result of favorable weather conditions in all regions during the season and improved seed quality. Turkey also produces about 100,000 MT of confection sunflowerseed annually on 50,000 hectares.

Oilseed sunflowerseed planting in MY 2018/19 is projected to be up marginally to 675,000 hectares and production about 1.48 MMT. Though there was country-wide precipitation during recent months, which caused higher sub soil moisture, the yields for winter and summer crops in Turkey are still dependent on the rains during the spring and summer.

In the Cukurova region, where ninety-five percent of the local soybean crop is grown, soybeans have to compete with wheat, corn, and cotton. Due to attractive returns on cotton, farmers in the Cukurova region planted more cotton during MY2017/18 than anticipated. Accordingly, MY 2017/18 Turkish domestic soybean planted area was 22,000 hectares and production 85,000 MT. Farmers continue to prefer planting cotton in the region, where soybean planting is mostly done for crop rotation purposes. Soybean plantings are expected to be about the same as last year at 22,000 hectares and production at 85,000 MT during MY 2018/19.

Cottonseed production is expected to increase in MY 2018/19 due to continuing interest of farmers to plant cotton as a result of better returns compared to competing crops such as corn. Cottonseed planting area is projected to be about 500,000 hectares and production 1.4 MMT in MY 2018/19, up about six percent and eight respectively compared to 470,000 hectares and 1.3 MMT of MY 2017/18.

**Meal and Feed Executive Summary**

In MY 2017/18 total meal production of Turkey (subject to this report) increased about fifteen percent due to a rapid increase in soybean meal production as a result of larger crush margins as well as an increase in seed cotton production. Total meal production in MY 2018/19 is expected to go up about eight percent and reach 2.85 MMT due to increases in all meal production, but mostly driven by increases in soybean meal production.

According to industry sources, calendar year (CY) 2017 compound feed production was about 22.4 MMT, up about ten percent compared to a year ago. While poultry feed production was up about seven percent to 8.9 MMT, livestock feed production was up twelve percent to 12.9 MMT, and other feed (fish feed and other) was up eleven percent to 0.6 MMT.

**Poultry & Livestock industry Executive Summary**

According to government and industry sources, following a minor decline of 1.6 percent in 2016 to 1.9 MMT, Turkish broiler meat production increased about thirteen percent to 2.2 MMT during 2017. Domestic consumption continued to increase for a number of reasons. Turkey's population continues to grow, and the country is still home to about 3.5 million refugees. Broiler meat also remains a cheaper alternative animal meat protein source compared to red meat, which is very expensive in Turkey. Tourism numbers have also begun to resume in 2017, which also drives the increase in consumption. In 2017, the Turkish broiler meat industry also saw about thirty percent increases in exports. Turkey didn't have any avian influenza cases limiting their access to export markets.

## OILSEEDS

Sunflowerseed PSD

| Oilseed, Sunflowerseed 1000 hectares, 1000 MT | 2016/2017 | | 2017/2018 | | 2018/2019 | |
|---|---|---|---|---|---|---|
| Market Begin Year | Sep 2016 | | Sep 2017 | | Sep 2018 | |
| Turkey | USDA Official | New Post | USDA Official | New Post | USDA Official | New Post |
| | | | | | | |
| Area Planted | 600 | 600 | 650 | 700 | 0 | 725 |
| Area Harvested | 600 | 600 | 650 | 700 | 0 | 725 |
| Beginning Stocks | 47 | 47 | 49 | 49 | 0 | 77 |
| Production | 1320 | 1320 | 1600 | 1550 | 0 | 1580 |
| MY Imports | 591 | 591 | 450 | 500 | 0 | 550 |
| MY Imp. from U.S. | 0 | 0 | 0 | | 0 | |
| MY Imp. from EU | 0 | 0 | 0 | | 0 | |
| Total Supply | 1958 | 1958 | 2099 | 2099 | 0 | 2207 |
| MY Exports | 47 | 47 | 40 | 50 | 0 | 55 |
| MY Exp. to EU | 0 | 0 | 0 | 0 | 0 | 0 |
| Crush | 1750 | 1750 | 1890 | 1850 | 0 | 1980 |
| Food Use Dom. Cons. | 110 | 110 | 120 | 120 | 0 | 120 |
| Feed Waste Dom. Cons. | 2 | 2 | 2 | 2 | 0 | 2 |
| Total Dom. Cons. | 1862 | 1862 | 2012 | 1972 | 0 | 2102 |
| Ending Stocks | 49 | 49 | 47 | 77 | 0 | 50 |
| Total Distribution | 1958 | 1958 | 2099 | 2099 | 0 | 2207 |

**Production -Sunflowerseed**

MY 2018/19 sunflowerseed planting is projected to grow marginally to 725,000 hectares. Of that, 675,000 hectares are oilseeds planting area and the remaining 50,000 hectares are confection sunflowerseed. Accordingly, oilseed sunflowerseed production is expected to be about 1.48 MMT and confection seeds about 100,000 MT. Good returns, due to increased demand for sunflowerseed oil, are persuading farmers to plant sunflowerseed. Turkey has a net deficit in sunflowerseed production, and sustainability of production will depend on farmer satisfaction with income. The GOT has not increased the sunflowerseed production bonus for MY 2017/18 and 2018/19 crop production. Farmers are asking for an increase due to high domestic annual inflation, which is about eleven percent.

While sunflowerseed competes for land with wheat, malting barley, and canola in the Thrace region, production of sunflowerseed in other regions, such as Central Anatolia, competes with corn, sugar beet, and vegetables. In the Cukurova region it also competes with wheat. In general, the Cukurova region has an advantage to grow sunflowerseed as the crop matures about a month earlier than in Thrace, so farmers are able to take advantage of the early season higher prices.

Yields are higher in the Central Anatolian region where fields are irrigated. Increase in production in other regions in recent years has caused the Thrace region's share of total domestic production to decline from 80 percent to about 50 percent.

**Soybeans**

Soybean PSD

| Oilseed, Soybean<br>1000 hectares<br>1000 MT | 2016/2017 | | 2017/2018 | | 2018/2019 | |
|---|---|---|---|---|---|---|
| Market Begin Year | Sep 2016 | | Sep 2017 | | Sep 2018 | |
| Turkey | USDA Official | New Post | USDA Official | New Post | USDA Official | New Post |
| | | | | | | |
| Area Planted | 30 | 30 | 30 | 22 | 0 | 22 |
| Area Harvested | 30 | 30 | 22 | 22 | 0 | 22 |
| Beginning Stocks | 274 | 274 | 313 | 313 | 0 | 318 |
| Production | 100 | 100 | 85 | 85 | 0 | 85 |
| MY Imports | 2271 | 2271 | 2250 | 2450 | 0 | 2600 |
| MY Imp. from U.S. | 0 | 0 | 0 | 0 | 0 | 0 |
| MY Imp. from EU | 0 | 0 | 0 | 0 | 0 | 0 |
| Total Supply | 2645 | 2645 | 2648 | 2848 | 0 | 3003 |
| MY Exports | 132 | 132 | 100 | 30 | 0 | 20 |
| MY Exp. to EU | 0 | 0 | 0 | 0 | 0 | 0 |
| Crush | 1000 | 1000 | 950 | 1200 | 0 | 1300 |
| Food Use Dom. Cons. | 0 | 0 | 0 | 0 | 0 | 0 |
| Feed Waste Dom. Cons. | 1200 | 1200 | 1280 | 1300 | 0 | 1350 |
| Total Dom. Cons. | 2200 | 2200 | 2230 | 2500 | 0 | 2650 |
| Ending Stocks | 313 | 313 | 318 | 318 | 0 | 333 |
| Total Distribution | 2645 | 2645 | 2648 | 2848 | 0 | 3003 |

**Production - Soybean**

MY 2018/19 soybean planting and production is projected to be about 22,000 hectares and 85,000 MT - the same as last year due to the projected increase in cotton production in the Cukurova region. The Cukurova region is the main soybean growing area in Turkey, supplying about ninety-five percent of the total production. Yields are high in the region as growers are technically proficient and the crop is irrigated. Small trial plantings are also seen in the GAP region, in Eastern Turkey. In general, local planting is fluctuating in accordance with soybean profitably compared to other crops, such as corn, cotton and peanuts. In recent years however, soybeans are mainly planted for crop rotation purposes, despite the large domestic consumption.

The GOT has been trying to encourage an increase of oilseeds production by offering higher production premium payments. Yet, in MY 2017/18, the government only increased the seed cotton production premium, but kept the other oilseed premiums the same as last year.

**Consumption - Soybean**
Domestic consumption of soybeans will be dependent on usage in the feed industries, especially in poultry. MY 2017/18 consumption is projected to be about 2.5 MMT and will increase to 2.65 MMT in MY 2018/19. Both layer and broiler industries are expected to grow moderately in the coming years in the view of growing domestic and export markets.

**Cottonseed**

Cottonseed PSD

| Oilseed, Cottonseed 1000 hectares 1000 MT | 2016/2017 | | 2017/2018 | | 2018/2019 | |
|---|---|---|---|---|---|---|
| Market Begin Year | Oct 2016 | | Oct 2017 | | Oct 2018 | |
| Turkey | USDA Official | New Post | USDA Official | New Post | USDA Official | New Post |
| | | | | | | |
| Area Planted (Cotton) | 400 | 400 | 485 | 470 | 0 | 500 |
| Area Harvested (Cotton) | 400 | 400 | 470 | 470 | 0 | 500 |
| Seed to Lint Ratio | 0 | 0 | 0 | 0 | 0 | 0 |
| Beginning Stocks | 14 | 14 | 11 | 11 | 0 | 10 |
| Production | 1050 | 1050 | 1400 | 1300 | 0 | 1400 |
| MY Imports | 0 | 0 | 0 | 0 | 0 | 0 |
| MY Imp. from U.S. | 0 | 0 | 0 | 0 | 0 | 0 |
| MY Imp. from EU | 0 | 0 | 0 | 0 | 0 | 0 |
| Total Supply | 1064 | 1064 | 1411 | 1311 | 0 | 1410 |
| MY Exports | 3 | 3 | 1 | 1 | 0 | 0 |
| MY Exp. to EU | 0 | 0 | 0 | 0 | 0 | 0 |
| Crush | 1040 | 1040 | 1390 | 1290 | 0 | 1380 |
| Food Use Dom. Cons. | 0 | 0 | 0 | 0 | 0 | 0 |
| Feed Waste Dom. Cons. | 10 | 10 | 10 | 10 | 0 | 10 |
| Total Dom. Cons. | 1050 | 1050 | 1400 | 1300 | 0 | 1390 |
| Ending Stocks | 11 | 11 | 10 | 10 | 0 | 20 |
| Total Distribution | 1064 | 1064 | 1411 | 1311 | 0 | 1410 |

**Production – Cottonseed**
Turkish cottonseed area and production is projected to continue to increase MY 2018/19. Accordingly, total area and production for MY 2018/19 projected about 500,000 hectares and 1.4 MMT.

## Oilseeds Production Support

### Agricultural Sales Cooperative Unions

Trakya Birlik and Karadeniz Birlik, two of the leading Agricultural Sales Cooperative Unions (ASCU's), continue to play a very important role supporting sunflowerseed production in Turkey. Other ASCU's includes TARIS (cotton and olive oil), Cukobirlik (cotton and soybean) and Antbirlik (cotton and cottonseed). All of the ASCU's have thousands of members to whom they provide seeds, fertilizer and low-cost financing prior to planting. The ASCU's then offer attractive prices after the harvest. All most all of the coops have crushing and refining facilities and they produce and market refined oils (sunflower, soybean and cottonseed oils) in wholesale and retail markets.

Trakya Birlik is reported to have purchased about 350,000 MT of 2017/18 crop sunflowerseed compared to about 300,000 MT of 2016/17 and 257,000 MT of 2015/16 crop. Karadeniz Birlik usually buys about 30,000 MT annually. The combined purchases of the two coops represent about twenty-six percent of the total sunflowerseed crops of MY 2017/18, which is slightly less than last year.

### Production premiums

In general, the Turkish government continued to support oilseed production with production premium programs and fuel and fertilizer support. However, according to the 2018/19 program, GOT has not increased production bonus and fertilizer support levels compared to last year, but has increased fuel support by about eleven percent. Accordingly, seed cotton producers will receive 400 Turkish Lira (TL) per hectare in fuel support and TL 40 per hectare in fertilizer support. Sunflowerseed and soybean producers will receive TL 190 per hectare fuel and TL 40 TL per hectare fertilizer support. Olive oil producers will receive TL 100 per hectare fuel and TL 40 per hectare fertilizer support. The new adjustments were met with mixed reactions among the farmers in view of eleven percent annual inflation and are not considered by farmers significant enough to change their planting decisions.

Production bonus payments (see table below) on the prior year crops have typically been made in August, just before the following year's harvest. Industry sources insist that for the future of domestic oilseed production, it is crucial that sales cooperatives and the government announce adequate domestic price and bonus payments in advance, and pay promptly. The government recently announced that coming years' bonus payments will be done in two installments: April/May and September/October.

| **Turkey: Oilseed Production Premiums (TL/MT)** (Exchange: US$ 1= TL 3.8- Feb 2018) | | | | |
|---|---|---|---|---|
| **Crop** | **2016** | **2017** | **2018** | **% increase** |
| Sunflowerseed | 400 | 400 | 400 | 0 % |
| Soybean | 600 | 600 | 600 | 0 % |
| Canola | 500 | 500 | 500 | 0 % |
| Seed cotton | 750 | 800 | 800 | 0 % |
| Olive Oil | 700 | 800 | 800 | 0% |

**Consumption - Oilseeds**

The majority of oilseeds and products are utilized for oil, meal, and full fat. Growth in domestic soybean and meal consumption will be moderate in MY 2017/18 due to moderate growth in broiler and egg production. Attractive crush margins in MY 2017/18 for soybeans will affect domestic crush positively. Utilization of full fat soy will also increase in MY 2017/18 and 2018/19, but to a lesser degree than soybean meal, provided crushing margins continue as they are. Aquaculture also contributed to the growth in soybean meal consumption, although to a lesser degree.

Cottonseed consumption fluctuates along with local production. Consumption will be higher in MY 2017/18 and in MY 2018/19 along with the projected increase in cotton production.

Total crushing capacity reached about 9 MMT per year. The new high-capacity modern crushers lower the cost of crushing through economies of scale, forcing smaller crushers with older technology out of business. Low capacity utilization, about 55 percent, also remains a problem for the industry. Turkey also has about 4 million MT per year refining capacity and capacity utilization is estimated at about 70 percent. Turkey traditionally exports oils and fats to neighboring countries, such as sunflowerseed oil and margarine.

**Trade - Oilseeds**

Total sunflowerseed imports in MY 2016/17 were 591,000 MT of which 574,000 were oilseed, which is up about seventy-six percent compared to 325,000 MT the previous marketing year; the remaining 16,000 MT were confection seeds. Despite the high increase in sunflowerseed imports last marketing year, increasing crushing facilities in the Black Sea region will force Turkey to import more meal and oil rather than seeds in the future. Russia was the leading supplier with 225,000 MT, followed by Moldova (205,000 MT), Bulgaria (78,000 MT) and Romania (35,000 MT), which were the other leading suppliers of sunflowerseed for Turkey.

During the first four months of MY 2017/18, which is September to December, total sunflowerseed imports were about 102,000 MT, which is up about hundred percent compared to the same period last year. Moldova (69,000 MT) and Russia (19,000 MT) were the main sources.

Total soybean imports during MY 2016/17 were 2.27 MMT, which is about the same as the previous marketing year, because of an import demand shift to soymeal due to attractive world prices. Paraguay was the leading soybean supplier with 822,000 MT followed by Ukraine with 700,000 MT and the United States with 335,000 MT. Ukraine became one of the leading suppliers of soybeans to Turkey in recent years, benefiting from geographical proximity and favorable pricing. The other soybean suppliers were Brazil (246,000 MT), Argentina (115,000 MT) and Uruguay (24,000 MT).

Soybean exports were about 132,000 MT during MY 2016/17. The United States was the main destination with 124,000 MT, of which most is organic soybeans transshipped from Black Sea countries. Syria (3,500 MT), N. Cyprus (2,000 MT), and Iraq (900 MT) were the other soybean export destinations. Turkey exported about 18,000 MT of soybeans in the first four months of MY 2017/18, all to the United States.

Turkey imported 694, 000 MT of soybeans in the first four months of MY 2017/18, (September-December) up about ten percent compared to the same period last year. The United States and Ukraine were the leading suppliers, with 214,000 MT and 190,000 MT, respectively.

**Confection Sunflowerseed**

Turkey annually produces between 100,000 MT to 120,000 MT of confection sunflowerseed in addition to the oilseed sunflowerseed for crushing. MY 2017/18 production is estimated about 80,000 MT and MY 2016/17 imports were about 17,000 MT. China was the leading supplier with 8,000 MT, followed by Bulgaria (4,000 MT) and the United States (1,900 MT). Turkey also exported about 18,000 MT of confection sunflowerseed during the marketing year. North Africa, Germany and Russia were the leading destinations.

**Policy - Oilseeds**

According to the 2018 customs regime, sunflowerseed imports are subject to a tariff of 27 percent. The GOT increases observation price on imports temporarily when the new crop comes in August of each year, and then lowers it a few months later, usually in January. Accordingly, the observation price for has been lowered to US$ 450 per ton from US$ 570, starting in January 2018. Soybeans are subject to zero percent tariffs and cottonseed is subject to a 10 percent tariff.

## OIL MEALS

### Production – Oilseed Meals

Total meal production (subject to this report) in MY 2017/18 expected to go up about ten percent to 2.54 MMT due to increases in all meal production, but particularly in soybean meal. The growth is expected to continue in MY 2018/19, and total production is expected to reach 2.82 MMT. Turkey continues to utilize a significant amount of full-fat soybeans in poultry rations as well. Accordingly, in MY 2017/18 and MY 2018/19, 1.30 MMT and 1.35 MMT of soybean will be used to produce full-fat soybean meals.

According to industry sources, as of 2016, there are about 515 active feed mills in Turkey with an estimated total capacity of 17.3 MMT at one shift. There are also on-farm feed mills where total production is estimated about 3 MMT per year. The feed sector has been growing at a remarkable speed and new modern mills with large production capacities are pushing smaller ones out of business. Total Turkish compound feed production has increased an average of eight percent each year between 2005 and 2015. Growth in 2016 was up about 1.5 percent due to a decline in poultry feed production. However, feed production was up about ten percent in 2017, reaching 22.4 MMT, as a result of an increase in demand for all feed categories. Presently the Turkish feed industry is among the world’s top twelve producers and in the top four in Europe. The sector is projected to grow in the coming years and reach 30 MMT by 2023.

Post has been using extraction rates of up to 55 percent for sunflowerseed meal in place of 38 percent to better reflect domestic extraction rates. The majority of Turkish mills are not separating the hulls from the meal while producing sunflowerseed meal. This practice increases the amount of meal produced but lowers the protein content and the quality of the meal. Due to the low protein content, locally produced sunflowerseed meal is not used in poultry rations, but is used in livestock rations. As a result, farmers then need to use either larger amounts of sunflowerseed meal or alternative meals, such as DDGS and CGFP, to obtain the protein amounts needed in their rations.

### Consumption

In general, total oilseed meal consumption moves in line with developments in the domestic poultry, livestock and aquaculture sectors. Overall, Turkish poultry meat production tripled in the past ten years and another fifty percent increase is foreseen in the coming ten years.

In 2017, poultry meat production was up about thirteen percent and is expected to continue to increase in 2018 due to an increase in domestic consumption and exports. The layer industry is also projected to expand, about five percent in 2018 for the same reasons. The livestock sector (beef and dairy) and also aquaculture are expected to continue to grow as well in 2018.

Sunflowerseed meal PSD

| Meal, Sunflowerseed 1000 MT | 2016/2017 | | 2017/2018 | | 2018/2019 | |
|---|---|---|---|---|---|---|
| Market Begin Year | Sep 2016 | | Sep 2017 | | Sep 2018 | |
| Turkey | USDA Official | New Post | USDA Official | New Post | USDA Official | New Post |
| | | | | | | |
| Crush | 1750 | 1750 | 1890 | 1850 | 0 | 1980 |
| Extr. Rate, 999.9999 | 0.5503 | 0.5503 | 0.5503 | 0.5405 | 0 | 0.5354 |
| Beginning Stocks | 83 | 83 | 150 | 150 | 0 | 155 |
| Production | 963 | 963 | 1040 | 1000 | 0 | 1060 |
| MY Imports | 958 | 958 | 850 | 950 | 0 | 970 |
| MY Imp. from U.S. | 0 | 0 | 0 | 0 | 0 | 0 |
| MY Imp. from EU | 0 | 0 | 0 | | 0 | 0 |
| Total Supply | 2004 | 2004 | 2040 | 2100 | 0 | 2185 |
| MY Exports | 4 | 4 | 5 | 5 | 0 | 5 |
| MY Exp. to EU | 0 | 0 | 0 | 0 | 0 | 0 |
| Industrial Dom. Cons. | 0 | 0 | 0 | 0 | 0 | 0 |
| Food Use Dom. Cons. | 0 | 0 | 0 | 0 | 0 | 0 |
| Feed Waste Dom. Cons. | 1850 | 1850 | 1930 | 1940 | 0 | 2020 |
| Total Dom. Cons. | 1850 | 1850 | 1930 | 1940 | 0 | 2020 |
| Ending Stocks | 150 | 150 | 105 | 155 | 0 | 160 |
| Total Distribution | 2004 | 2004 | 2040 | 2100 | 0 | 2185 |

**Trade – Sunflowerseed Meal**

Turkey’s sunflowerseed meal imports in MY 2016/17 continued to be strong, reaching 958,000 MT up about twenty percent due to abundant supplies in the Black Sea region. Turkey continued to source its sunflowerseed meal from Russia (496,000 MT), and Ukraine (345,000 MT) due to increased availability as a result of increased crushing capacities in both countries.

The strong import trend continued in the first four months of MY 2017/18 reaching 102,000 MT. Moldova (69,000 MT) and Russia (19,000 MT) were the main sources.

Soybean meal PSD

| Meal, Soybean 1000 MT | 2016/2017 | | 2017/2018 | | 2018/2019 | |
|---|---|---|---|---|---|---|
| Market Begin Year | Oct 2016 | | Oct 2017 | | Oct 2018 | |
| Turkey | USDA Official | New Post | USDA Official | New Post | USDA Official | New Post |
| | | | | | | |
| Crush | 1000 | 1000 | 950 | 1200 | 0 | 1300 |
| Extr. Rate, 999.9999 | 0.77 | 0.77 | 0.7705 | 0.7667 | 0 | 0.7692 |
| Beginning Stocks | 190 | 190 | 260 | 253 | 0 | 273 |
| Production | 770 | 770 | 732 | 920 | 0 | 1000 |
| MY Imports | 790 | 787 | 700 | 750 | 0 | 800 |
| MY Imp. from U.S. | 0 | 0 | 0 | 0 | 0 | 0 |
| MY Imp. from EU | 0 | 0 | 0 | 0 | 0 | 0 |
| Total Supply | 1750 | 1747 | 1692 | 1923 | 0 | 2073 |
| MY Exports | 40 | 44 | 50 | 60 | 0 | 70 |
| MY Exp. to EU | 0 | 0 | 0 | 0 | 0 | 0 |
| Industrial Dom. Cons. | 0 | 0 | 0 | 0 | 0 | 0 |
| Food Use Dom. Cons. | 0 | 0 | 0 | 0 | 0 | 0 |
| Feed Waste Dom. Cons. | 1450 | 1450 | 1400 | 1600 | 0 | 1700 |
| Total Dom. Cons. | 1450 | 1450 | 1400 | 1600 | 0 | 1700 |
| Ending Stocks | 260 | 253 | 242 | 273 | 0 | 303 |
| Total Distribution | 1750 | 1747 | 1692 | 1933 | 0 | 2073 |

**Production – Soybean Meal**

Domestic production of soybean meal in MY 2017/18 is projected to increase significantly reaching 920,000 MT, compared to 770,000 MT last marketing year due to favorable crushing margins and increase in usage in rations. Production is expected to increase further to 1 MMT in 2018/2019 due to increased domestic demand.

**Trade – Soybean Meal**

Turkey imported a total of 787,000 MT of soybean meal during MY 2016/17, up about twenty-five percent compared to the previous marketing year. The vast majority, 681,000 MT, was supplied by Argentina due to very attractive prices. The United States (75,000 MT) and Ukraine (22,000 MT) and were the other sources. Additionally, Turkey exported about 44,000 MT of soybean meal during the same period. Iraq and the United States were the main destinations with 24,000 MT and 12,000 MT respectively. This soybean meal could have been produced from either local or imported soybeans.

Attractive prices in Argentina continued to fuel imports of soybean meal during the first quarter of MY 2017/18. Total imports reached 169,000 MT supplied mainly by Argentina.

Cottonseed meal PSD

| Meal, Cottonseed 1000 MT | 2016/2017 | | 2017/2018 | | 2018/2019 | |
|---|---|---|---|---|---|---|
| Market Begin Year | Oct 2016 | | Oct 2017 | | Oct 2018 | |
| Turkey | USDA Official | New Post | USDA Official | New Post | USDA Official | New Post |
| | | | | | | |
| **Crush** | 1040 | 1040 | 1390 | 1290 | 0 | 1380 |
| **Extr. Rate, 999.9999** | 0.55 | 0.55 | 0.5504 | 0.5504 | 0 | 0.55 |
| **Beginning Stocks** | 0 | 0 | 0 | 0 | 0 | 0 |
| **Production** | 572 | 572 | 765 | 710 | 0 | 760 |
| **MY Imports** | 0 | 0 | 0 | 0 | 0 | 0 |
| **MY Imp. from U.S.** | 0 | 0 | 0 | 0 | 0 | 0 |
| **MY Imp. from EU** | 0 | 0 | 0 | 0 | 0 | 0 |
| **Total Supply** | 572 | 572 | 765 | 710 | 0 | 760 |
| **MY Exports** | 27 | 26 | 25 | 40 | 0 | 50 |
| **MY Exp. to EU** | 0 | 0 | 0 | 0 | 0 | 0 |
| **Industrial Dom. Cons.** | 0 | 0 | 0 | 0 | 0 | 0 |
| **Food Use Dom. Cons.** | 0 | 0 | 0 | 0 | 0 | 0 |
| **Feed Waste Dom. Cons.** | 545 | 546 | 740 | 670 | 0 | 710 |
| **Total Dom. Cons.** | 545 | 546 | 740 | 670 | 0 | 710 |
| **Ending Stocks** | 0 | 0 | 0 | 0 | 0 | 0 |
| **Total Distribution** | 572 | 572 | 765 | 710 | 0 | 760 |

**Trade – Cottonseed Meal**
Turkey exported about 26,000 MT of cottonseed meal in MY2016/17. Syria was the main destination with 24,000 MT followed by Lebanon with 2,000 MT. Exports continued during the first quarter of MY 2017/18 to both destinations, with the total reaching 14,000 MT.

**Policy – Oilseed Meals**
According to the 2018 import regime, soybean meal imports are subject to zero percent import tax from EU countries and 5 percent from other sources. Other meals, such as sunflowerseed meal and cottonseed meal are subject to a 6.5 percent import tax.

**OILS**

**Production – Oils**
MY 2017/18 total domestic production of vegetable oils subject to this report (sunflowerseed, cottonseed and soybean) is estimated about 1.26 MMT, up about thirteen percent compared last marketing year, due to large increases in soybean and cottonseed oils as a result of a large increase in soybean crushing and increased production of cotton seeds. MY 2018/19 total oil production is expected to go up about seven percent to 1.35 MMT, due to an equal increase of seven percent in all oils.

The local industry is continuing to invest in new plants and accordingly, Turkey's crushing capacity has reached 9 MMT. Refining capacity for liquid oils also went up to 4 MMT. Turkey also has about an additional 1 MMT capacity for production of margarine and produced about 825,000 MT in 2017.

**Sunflowerseed Oil PSD**

| Oil, Sunflowerseed 1000 MT | 2016/2017 | | 2017/2018 | | 2018/2019 | |
|---|---|---|---|---|---|---|
| Market Begin Year | Sep 2016 | | Sep 2017 | | Sep 2018 | |
| Turkey | USDA Official | New Post | USDA Official | New Post | USDA Official | New Post |
| | | | | | | |
| Crush | 1750 | 1750 | 1890 | 1850 | 0 | 1980 |
| Extr. Rate, 999.9999 | 0.4349 | 0.4349 | 0.4349 | 0.4486 | 0 | 0.4495 |
| Beginning Stocks | 84 | 84 | 23 | 73 | 0 | 93 |
| Production | 761 | 761 | 822 | 830 | 0 | 890 |
| MY Imports | 793 | 793 | 750 | 700 | 0 | 600 |
| MY Imp. from U.S. | 0 | 0 | 0 | 0 | 0 | 0 |
| MY Imp. from EU | 0 | 0 | 0 | 0 | 0 | 0 |
| Total Supply | 1638 | 1638 | 1595 | 1603 | 0 | 1583 |
| MY Exports | 635 | 635 | 550 | 550 | 0 | 500 |
| MY Exp. to EU | 0 | 0 | 0 | 0 | 0 | 0 |
| Industrial Dom. Cons. | 20 | 20 | 20 | 20 | 0 | 20 |
| Food Use Dom. Cons. | 950 | 900 | 980 | 930 | 0 | 960 |
| Feed Waste Dom. Cons. | 10 | 10 | 10 | 10 | 0 | 10 |
| Total Dom. Cons. | 980 | 930 | 1010 | 960 | 0 | 990 |
| Ending Stocks | 23 | 73 | 35 | 93 | 0 | 93 |
| Total Distribution | 1638 | 1638 | 1595 | 1603 | 0 | 1583 |

**Consumption – Sunflowerseed Oil**
Sunflowerseed oil is the most consumed oil in Turkey and food use consumption is continuing to increase. It is forecast to reach 960,000 MT in MY 2018/19. Higher sunflowerseed oil

consumption is due to the increase in population and the lack of alternative low-priced oils because Turkey has not approved any genetically engineered corn or soybeans for food use.

**Soybean oil PSD**

| Oil, Soybean<br>1000 MT | 2016/2017 | | 2017/2018 | | 2018/2019 | |
|---|---|---|---|---|---|---|
| Market Begin Year | Oct 2016 | | Oct 2017 | | Oct 2018 | |
| Turkey | USDA Official | New Post | USDA Official | New Post | USDA Official | New Post |
| | | | | | | |
| Crush | 1000 | 1000 | 950 | 1200 | 0 | 1300 |
| Extr. Rate, 999.9999 | 0.17 | 0.17 | 0.1705 | 0.1708 | 0 | 0.1692 |
| Beginning Stocks | 47 | 47 | 15 | 14 | 0 | 24 |
| Production | 170 | 170 | 162 | 205 | 0 | 220 |
| MY Imports | 0 | 0 | 0 | 0 | 0 | 0 |
| MY Imp. from U.S. | 0 | 0 | 0 | 0 | 0 | 0 |
| MY Imp. from EU | 0 | 0 | 0 | 0 | 0 | 0 |
| Total Supply | 217 | 217 | 177 | 219 | 0 | 244 |
| MY Exports | 67 | 68 | 50 | 35 | 0 | 45 |
| MY Exp. to EU | 0 | 0 | 0 | 0 | 0 | 0 |
| Industrial Dom. Cons. | 80 | 80 | 70 | 90 | 0 | 95 |
| Food Use Dom. Cons. | 0 | 0 | 0 | 0 | 0 | 0 |
| Feed Waste Dom. Cons. | 55 | 55 | 50 | 70 | 0 | 75 |
| Total Dom. Cons. | 135 | 135 | 120 | 160 | 0 | 170 |
| Ending Stocks | 15 | 14 | 7 | 24 | 0 | 29 |
| Total Distribution | 217 | 217 | 177 | 219 | 0 | 244 |

**Consumption - Soybean Oil**

Turkey's Biosafety law limits the utilization of soybean oil produced from genetically-engineered (GE) soybeans. No applications have been submitted requesting food use approval for GE soybeans under the law. Accordingly, soybean oil produced from biotech soybeans is only allowed to be used in feed and industrial categories, mostly paint and ink production. Therefore, only soybean oil that is produced from locally produced and imported non-GE soybeans are used in food in Turkey. Since the great majority of imported and crushed soybeans are genetically engineered varieties for animal feed, this adversely affects domestic crushing margins, and causes consumption of soybean oil to be limited to soybeans that are locally produced.

**Cottonseed Oil PSD**

| Oil, Cottonseed 1000 MT | 2016/2017 | | 2017/2018 | | 2018/2019 | |
|---|---|---|---|---|---|---|
| Market Begin Year | Oct 2016 | | Oct 2017 | | Oct 2018 | |
| Turkey | USDA Official | New Post | USDA Official | New Post | USDA Official | New Post |
| | | | | | | |
| Crush | 1040 | 1040 | 1390 | 1290 | 0 | 1380 |
| Extr. Rate, 999.9999 | 0.1798 | 0.1798 | 0.1799 | 0.1783 | 0 | 0.1783 |
| Beginning Stocks | 4 | 4 | 5 | 5 | 0 | 10 |
| Production | 187 | 187 | 250 | 230 | 0 | 246 |
| MY Imports | 0 | 0 | 0 | 0 | 0 | 0 |
| MY Imp. from U.S. | 0 | 0 | 0 | 0 | 0 | 0 |
| MY Imp. from EU | 0 | 0 | 0 | 0 | 0 | 0 |
| Total Supply | 191 | 191 | 255 | 235 | 0 | 256 |
| MY Exports | 1 | 1 | 2 | 0 | 0 | 1 |
| MY Exp. to EU | 0 | 0 | 0 | 0 | 0 | 0 |
| Industrial Dom. Cons. | 10 | 10 | 14 | 15 | 0 | 20 |
| Food Use Dom. Cons. | 175 | 175 | 225 | 210 | 0 | 225 |
| Feed Waste Dom. Cons. | 0 | 0 | 0 | 0 | 0 | 0 |
| Total Dom. Cons. | 185 | 185 | 239 | 225 | 0 | 250 |
| Ending Stocks | 5 | 5 | 14 | 10 | 0 | 5 |
| Total Distribution | 191 | 191 | 255 | 235 | 0 | 256 |

**Production – Cottonseed Oil**

Cottonseed oil production in MY 2017/18 will be up to 230,000 MT and consumption to 225,000 MT. In MY 2018/19, production and consumption, mostly in food use for margarine production, will continue to increase to 246,000 MT and 250,000 MT, in line with the increase in cottonseed output.

**Olive Oil**, PSD

| Oil, Olive<br>1000 Trees<br>1000 MT | 2016/2017 | | 2017/2018 | | 2018/2019 | |
|---|---|---|---|---|---|---|
| Market Begin Year | Nov 2016 | | Nov 2017 | | Nov 2018 | |
| Turkey | USDA Official | New Post | USDA Official | New Post | USDA Official | New Post |
| | | | | | | |
| Area Planted | 0 | 0 | 0 | 0 | 0 | 0 |
| Area Harvested | 0 | 0 | 0 | 0 | 0 | 0 |
| Trees | 148000 | 148000 | 150000 | 150000 | 0 | 152500 |
| Beginning Stocks | 40 | 41 | 26 | 26 | 0 | 36 |
| Production | 180 | 177 | 200 | 280 | 0 | 250 |
| MY Imports | 1 | 1 | 1 | 0 | 0 | 0 |
| MY Imp. from U.S. | 0 | 0 | 0 | 0 | 0 | 0 |
| MY Imp. from EU | 0 | 0 | 0 | 0 | 0 | 0 |
| Total Supply | 221 | 219 | 227 | 306 | 0 | 286 |
| MY Exports | 51 | 48 | 50 | 120 | 0 | 110 |
| MY Exp. to EU | 0 | 0 | 0 | 0 | 0 | 0 |
| Industrial Dom. Cons. | 0 | 0 | 0 | 0 | 0 | 0 |
| Food Use Dom. Cons. | 144 | 145 | 150 | 150 | 0 | 155 |
| Feed Waste Dom. Cons. | 0 | 0 | 0 | 0 | 0 | 0 |
| Total Dom. Cons. | 144 | 145 | 150 | 150 | 0 | 155 |
| Ending Stocks | 26 | 26 | 27 | 36 | 0 | 21 |
| Total Distribution | 221 | 219 | 227 | 306 | 0 | 286 |

**Production – Olive Oil**

GOT has been supporting olive tree orchards and olive oil production, and accordingly, the number of trees has reached 175 million in 2018, of which 152.5 million are estimated to be fruit bearing trees. The orchard planting trend is expected to continue in the coming years, though at a slower pace. Olive trees are mostly planted along the Aegean and Mediterranean seas and also in the South East Anatolian region. The old tobacco producing areas in the Aegean coastal region have become the center for olive and olive oil production during the last ten years. Along with the increasing planting, the Ministry of Agriculture has also expressed interest in grafting about 80 million wild olive trees, of which 40 million are said to be productive, to increase olive and olive oil production. According to the government's action plan, about 1.5 million will be grafted between 2015 and 2019.

On the other hand, while planting is increasing in the new areas, old olive groves are under pressure from metal mining industries and housing developments. MY 2017/18 was an "on year" for olive production and the early season estimate for olive oil production is 280,000 MT, up about 100,000 MT compared to last year due to optimum weather conditions. Even though production still varies during on and off years, the larger number of trees, better picking practices, and weather changes have caused a narrowing in the production gap between on and off years. Despite the increasing number of fruit bearing trees, in MY 2018/19, an off year, production is projected to be about 250,000 MT, though this is weather dependent of course. But overall an increase in the number of fruit bearing trees and better farming practices are all expected to contribute to higher levels of olive oil production in the coming years.

Following five years of lobbying by the producers, the production premium for olive oil has increased fourteen percent to TL 0.80 per kilogram (around US$ 200 per MT) for the 2016 crop and then has remained the same for the 2017 and 2018 crops. Producers argue that they cannot compete with EU-sourced olive oil in international markets due to the higher EU support which they claim is Euro 1.3 per kilogram. Additionally, Turkish domestic support is provided in the Turkish currency, which has been devaluing against foreign currencies, and producers argue that the devaluation reduces the subsidies' effectiveness.

**Consumption – Olive Oil**

Along with the increasing production, domestic consumption has also increased over the years, particularly among health-conscious city dwellers. Large domestic production in MY 2017/18 is expected stabilize olive oil domestic prices, despite the eleven percent domestic inflation, which will help to increase domestic consumption. Accordingly, MY 2017/18 domestic consumption is projected to be about 150,000 MT.

**Trade – All Oilseed Oils**

Turkish olive oil exports went up significantly in MY 2016/17 to about 45,000 MT compared to 12,700 MT in MY 2015/16. Spain was the leading market with 16,000 MT followed by the United States with 12,000 MT. Turkish exporters benefited from the devaluation of the Turkish Lira during the first three months of MY 2016/17, as well as lower production in the rest of the Mediterranean basin countries, hence early season estimates of 30,000 MT of exports were exceeded. Due to high domestic production, Turkey expects to export about 120,000 MT of olive oil during the 2017/18 season.

In MY 2016/17, sunflowerseed oil imports were 793,000 MT. Russia (494,000 MT) and Ukraine (200,000 MT) were the main suppliers. Turkey's imports of sunflowerseed oil during the first four months of MY 2017/18 were 155,000 MT, which is significantly less than 285,000 MT of the same period last year, due to anticipated lower exports.  Russia and Bosnia were the main suppliers with 115,000 MT and 29,000 MT, respectively.

Turkey's total refined sunflowerseed oil exports during MY 2016/17 were 635,000 MT, up about ten percent compared to MY 2015/16. Iraq continues to be the main destination with 360,000 MT, distantly followed by Syria (116,000 MT) and Djibouti (23,000 MT).

Exports of refined sunflowerseed oil during the first four months of MY 2017/18 were 117,000 MT, about half of the exports of the same period last year. Syria and Iraq were the main destinations with 40,000 MT and 30,000 MT, respectively.

Due to large domestic crushing, Turkey did not import soybean oil during MY 2016/17. Exports during the same period however were about 68,000 MT. China was the leading buyer of Turkish soybean oil with 33,000 MT, followed by Algeria (28,500 MT), and Iraq (4,600 MT).

**Biodiesel**

The government of Turkey issued a new regulation last summer imposing 0.5 percent mandatory inclusion of biodiesel into diesel fuel starting from January 2018. Accordingly, about 110,000 MT of biodiesel will be produced in 2018. The motivation of the government is to create a new demand for local oilseeds production and make better use of used cooking oil. Accordingly regulations require that oils obtained from locally produced oilseeds and used cooking oil will be utilized to produce bio-diesel. About 35,000 MT of used vegetable oil is estimated to be used for this purpose and the rest will be various other oils such as canola oil, safflower oil, camelina oil and small quantities of cottonseed oil and soybean oil.

**Tariffs – All Oils**

To comply with its Customs Union agreement with the EU, Turkey established tariff rate quotas (TRQ's) for vegetable oils as listed below. However, Turkey does not always utilize these quotas, in order to maintain the value of Trakya Birlik's stocks.

| Turkey: Vegetable Oil Import TRQ's | | | |
|---|---|---|---|
| Origin | Commodity | Quantity | Duty |
| EU | Crude Sunflower Oil | 18,000 MT | 0 |
| EU | Crude Soybean Oil | 60,000 MT | 0 |
| EU | Refined Soybean Oil | 2,000 MT | 0 |
| EU | Crude Canola Oil | 10,000 MT | 0 |

According to the 2018 customs regime, crude sunflowerseed oil imports outside of the new TRQ are subject to a tariff of 36 percent with a minimum price of US$ 1,000 per ton. Refined sunflowerseed oil for human consumption is subject to 67.5 percent import taxes and minimum price of US$1,100 per ton. Sunflowerseed oil for industrial use is subject to 22.5 percent import tax. Soybean oil and cottonseed oil are subject to 31.2 percent import tax.